

**BEFORE THE
FEDERAL MARITIME COMMISSION**

S.P.F. LOGISTICS, INC.,	)	
	)	
<i>Complainant,</i>	)	
	)	
v.	)	
	)	
HAPAG-LLOYD AG,	)	
	)	
	)	DOCKET NO. 24-24
	)	
<i>Respondent.</i>	)	
	)	

RESPONDENT’S SUPPLEMENTAL BRIEF ON THE ISSUE OF JURISDICTION

Pursuant to the Presiding Officer’s Order dated January 14, 2025, Hapag-Lloyd AG (“Respondent”) hereby submits this supplemental brief on the issue of whether it was acting as a regulated entity with respect to the conduct at issue in the Complaint. For the reasons set forth below, Respondent was not acting as a regulated entity with respect to the conduct at issue in the Complaint, and the Commission should therefore dismiss the Complaint with prejudice.

I. Procedural History

On September 12, 2024, Respondent filed a motion for summary judgment for lack of subject matter jurisdiction, arguing that, following on the Commission’s statements on jurisdiction in the Demurrage and Detention Final Rule and Final Rule Correction, *infra.*, the Commission lacks jurisdiction over the Complaint because the conduct that underlies the basis of the Complaint relates to inland movement of merchant haulage shipments. On September 26, 2024, Complainant filed its brief in opposition of the motion for summary judgment, and on

October 3, 2024, Respondent filed its reply brief. On January 14, 2025, the Presiding Officer issued an Order to File Supplemental Briefs addressing “whether Hapag-Lloyd was acting as a regulated entity with respect to the conduct at issue in the complaint.” *See* Order to File Supplemental Briefs at 3.

II. Argument

In the Order to File Supplemental Briefs, Chief ALJ Wirth correctly stated that not all activities of regulated entities are subject to the jurisdiction of the Commission. *See* Order to File Supplemental Briefs on page 3 (citing *Final Rule: Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29638, 29650; *Crocus Investments, LLC. v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2019 WL 4734299). As detailed below, while Respondent is at times an entity regulated under the Shipping Act, its actions in connection with the return of reefer containers on a merchant haulage move do not fall under the Commission’s jurisdiction.

The Shipping Act of 1984, as amended, regulates the activities of ocean common carriers. The obligation of a common carrier is to deliver cargo to the consignee. Once delivery is completed, the common carrier obligations with respect to the cargo in question are at an end. Therefore, in a merchant haulage move, once delivery at the destination port has been made, the common carrier’s obligations as a regulated entity cease. Subsequent to delivery the ocean carrier is no longer acting as a “common carrier,” but is instead serving as an equipment bailor to the consignee or shipper’s designated motor carrier. Because the conduct at issue in the Complaint relates to the return of empty containers to the port after delivery has already occurred, Respondent was not acting as a regulated entity with respect to such conduct.

- i. *The Shipping Act of 1984's Regulation of an Ocean Carrier Conducting a Merchant Haulage Move Ends When the Cargo in Question is Delivered and Made Available to the Trucker for Pick Up*

It is well established that common carriers must ensure for the proper delivery of cargo.

See Thomas J. Schoenbaum, Admiralty and Maritime Law, §10-18 Delivery of Cargo (6th ed. 2024). Delivery of cargo generally occurs when a carrier “unloads the cargo onto a dock . . . in a place of rest so that it is accessible to the consignee, and affords the consignee a reasonable opportunity to come get it.” See *Crisis Transp. Co. v. M/V Erlangen Exp.*, 794 F. 2d 185, 188 (5th Cir. 1986). While parties to a shipment may agree to a definition of delivery that extends the carrier’s obligations beyond making the cargo available for pick up, in merchant haulage moves, the parties have agreed that the carrier’s responsibility for movement of the cargo terminates upon delivery to the port. See *Intermodal Motor Carriers Conference v. OCEMA, et al.*, Docket No. 20-15, 2024 WL 641501 at *3 (February 13, 2024).

That a carrier’s common carrier obligations terminate upon delivery to the port is also apparent from the definition of a “common carrier” in § 40102(7)(A)(ii) of the Shipping Act. In relevant part, § 40102(7)(A)(ii) states that a common carrier “assumes responsibility for the transportation from the port or point of receipt to the port or point of destination.” (emphasis added). The plain language of the statutory definition indicates that once cargo reaches the port or point of delivery, the common carrier’s obligations end. This means that, for merchant haulage moves, an ocean common carrier is only acting as a “common carrier” up to the port of delivery. See also, *Crocus*, 2019 WL 4734299 at *7 (stating that there must be “a link between the respondents’ regulated status and the conduct that allegedly violates the Shipping Act”).

Thus, pursuant to both the Shipping Act definition as interpreted by the Commission and the common law definition of delivery (which has also been recognized and followed by the

Commission), Respondent was no longer acting as an ocean common carrier subject to the Shipping Act at the time of the conduct herein at issue. Thus, the Shipping Act is not applicable and the Commission lacks jurisdiction..

ii. *The Conduct Underlying the Complaint is not Regulated by the Shipping Act because it Relates to the Return of Empty Reefer Containers on a Merchant Haulage Move*

The shipments that are the basis of this Complaint are all merchant haulage moves. See Exhibits 1 and 2 of Respondent's Motion for Summary Judgment. The conduct that is the subject of the Complaint relates to the return of empty containers by a motor carrier at the Port of Long Beach. See Complaint at ¶¶ 11, 36. Because this conduct occurred after delivery had been completed, it falls outside of the Shipping Act's definition of regulated conduct by a common carrier. See *Final Rule: Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29638, 29650; § 40102(7)(A)(ii).

In the case of a merchant haulage move, the motor carrier is hired by, paid by, and responsible to the consignee. There is no contract for transportation between the ocean common carrier and the motor carrier. Instead, the ocean common carrier is merely allowing the motor carrier to take possession of and use its container so that the motor carrier may perform the inland transportation for which it was hired by the consignee. Thus, the ocean carrier is acting as a bailor of equipment to the motor carrier under the terms of the Uniform Intermodal Interchange and Facilities Access Agreement ("UIIA").¹ The UIIA is not a contract for the transportation of cargo, but is an agreement setting forth the terms under which the motor carrier is permitted to take possession of and utilize the ocean carrier's container. See UIIA, Section A. Use and return of the equipment are governed by Sections D & E of the UIIA. For the reasons set forth in the

¹ The UIIA between Complainant and Respondent is attached hereto as Exhibit A.

preceding section of this supplemental brief, questions of whether Respondent acted in accordance with terms of the UIIA as a bailor of equipment made available to the motor carrier to complete a merchant haulage movement fall outside the scope of the Shipping Act. Therefore, the Commission does not have jurisdiction over the conduct that underlies the Complaint.

III. Conclusion

For the reasons set forth in Respondent's motion for summary judgment, brief in reply to Complainant's brief in opposition to the motion for summary judgment, and in this supplemental brief, the Commission lacks jurisdiction over the Complaint. Summary judgment should be issued in favor of Respondent and the Complaint dismissed with prejudice.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Wayne R. Rohde". The signature is fluid and cursive, with the first name "Wayne" and last name "Rohde" clearly distinguishable.

Wayne R. Rohde

Rachel Schwartz

COZEN

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Dated: January 29, 2025

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 29th day of January 2025, the foregoing Respondents' Reply was served via electronic mail on:

Stephen M. Uthoff
suthoff@uthofflaw.com

A handwritten signature in black ink, appearing to read "Rachel Schwartz", with a stylized flourish at the end.

Rachel Schwartz